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Chapter 2

Drinks UK Bonded Inventory

Overview



Introduction

Drinks Bonded Inventory Management provides the wine, spirit and beer distribution industry in the United Kingdom, with an efficient method of controlling stocks in a duty free environment.

One of the key benefits of Drinks Bonded Inventory Management is the linking of distribution functions with H M Customs and Excise reporting requirements.

In line with other modules, users may define more than one operating company, but more importantly, users may define any number of Bonded Stockrooms.

Relationships With Other Modules

Drinks Bonded Inventory Management makes use of primary data held in the Drinks Inventory Management and Drinks Sales Order Processing modules.

It is within Drinks Inventory Management that details of items are held, including litres per case and bottles per case.

Drinks Inventory Management also contains a database of codes and descriptions used to hold such details as country of origin, ports of entry, goods category (E.g.: Wine, Gin, etc.). This description database is used to validate data entry and ensure consistency in the data recorded.

The status of Warehouse / Stockroom codes - Duty Free (Bonded) or Duty Paid are defined within Drinks Sales Order Processing. Similarly, the status of customers (Export, Duty Paid, etc.) are defined within Drinks Sales Order Processing.

System 21 Production Applications recognise Bonded Stockrooms for Production Receipt only. If you are using the System 21 Production Applications in conjunction with Drinks Bonded Inventory Management, Bonded Stockrooms should not be defined as:

- Issuing stockroom on Production Routes or Production Orders.
- Issuing stockroom on any Transaction Booking in Production.
- Shop Floor stockrooms.

All Item/Stockroom Details must be defined using the Drinks Item/Stockroom Details Maintenance. In particular, all shop floor component stockroom balance must be defined in the Drinks Application before use in Production.

All Item master details must be defined using the Drinks Applications. The Production item master, 'based on' facility can only be used after the Inventory Item Master has been defined in the Drinks Application.

Maintenance

Company Profile

As with all products, Drinks Bonded Inventory Management may be used by a number of companies, each with differing requirements. A profile of each company using the system is maintained, detailing such things as the name of the company and certain processing options.

Bond / Stockroom Profile

Customs and Excise Bonds, throughout the United Kingdom may be defined within Drinks Bonded Inventory Management. Export and other Duty Free locations may also be defined to the system in order to ensure that the supply of goods causes the production of the appropriate despatch documents and the relevant tax liability, both EEC and UK taxes.

It is possible to operate Duty Paid and Duty Free stockrooms within the same company. Provision is also made for controlling broken cases by defining bottle stockrooms within a Bond.

To maintain independence from other module time periods, each Bond has its own calendar, which holds critical dates relevant to the production of Customs and Excise reports and the triggering of period end processing.

There is no significant restriction to the number of stockrooms defined within Warehousing and Drinks Inventory Management all within the same Bond.

Reference Data

The following H M Customs and Excise reference data is defined within Drinks Bonded Inventory Management:

- Commodity Codes/Tax Types.
- Preferential Duty Rates.
- Preferential Groups.
- Quota Duty Rates.
- Item Variants/Customer Items.
- Rotation Details.
- Commercial Value Duty Rates.

This data defines the tax rules and values necessary for the calculation of H M Customs and Excise duties and the reporting of EEC Commodity Codes and Excise Tax Type codes.

Each item defined within Drinks Inventory Management is also defined within Drinks Bonded Inventory Management in order to specify the associated tax codes, duty status, spirit strength (where relevant) and country of origin.

Identical products sourced from different countries, or with varying spirit strengths, may be assigned the same item number. Each variant of the same item may be given unique tax codes/strengths as appropriate.

Processing

The main transaction types recognised by H M C & E are:

- Goods Receiving.
- Despatch.
- Stock Losses (write-offs).
- Stock Gains.
- Stock Counting.
- Payment of Customs Duty within Bond.

The goods receiving processes are performed within either Drinks Inventory Management or Drinks Purchase Management. These processes have been enhanced to accommodate the logging of additional data when receiving goods into a Bond.

Similarly, the despatch processes performed within Drinks Warehousing have been enhanced to accommodate the production of clean despatch notes and where applicable, the necessary duty free documentation.

Recording losses and gains are provided by Drinks Bonded Inventory Management, and in the case of stock losses, payment or non-payment of duty is determined by the transaction reference selected.

Payment of Customs Duty within Bond, otherwise known as Marking goods in free circulation, is performed within Drinks Bonded Inventory Management.

Stock Counting within Drinks Bonded Inventory Management provides for the production of count documents, sorted by location or by rotation. After recording physical stocks, a variance report is available listing items in the sequence specified.



Note: Inventory stock counting and Warehouse stock counting provide an alternative procedure to Bond stock counting. Bond is included in both these functions. This provides the facility to stock count in warehouse defined stockrooms that are also bonded. Inventory stock counting and Warehouse stock counting are the recommended functions for stock counting.

Enquiries

Drinks Warehousing and Drinks Inventory Management provide the main source of information for enquiring on stock status, by item, and by location.

Drinks Bonded Inventory Management provides for additional enquiries, as follows:

- Rotation.
- Consolidated Audit.
- Item Variant.

The Rotation Enquiry accesses the original consignment details and Customs and Excise references as well as the Drinks Bonded Inventory Management transaction movement log.

All key reference data updates are logged and reported. In addition, it is possible to enquire on these updates.

The item variant enquiry provides for the identification of a given variant where a number of variants are assigned to the same item.

Reports

Drinks Bonded Inventory Management has its own independent logging of transactions where the transactions are relevant to H M C & E.

All necessary transaction reports are contained within a Daily Duty Run, with each report being consecutively numbered from one day to the next. Reports produced by the Duty Run are:

- Adjustments/Breakages.
- Customer Duty and Duty Free Analysis.
- Movement Audit.
- Report of Despatches.
- Report of Receipts.
- W1, W2 and W3 Stock Returns.
- W5D.
- EX46 (Beer Duty) Returns Report.
- C88A Report.

In addition, key reference data changes may be reported and W81 documents still outstanding for return can be listed.

By numbering each report, the majority of the above reports may be re-printed by quoting the original report number.

Utilities

Drinks Bonded Inventory Management contains utility functions which are intended for use at system installation time, or under special circumstances.

These utilities enable ease of software installation, and continued maintenance.

Pre-requisites

Drinks Bonded Inventory Management requires the following modules to be installed before installing this module.

- Drinks Inventory Management.
- Drinks Sales Order Processing & Invoicing.

Drinks Purchase Management, the financial modules, Drinks Telesales, Drinks Warehousing and Drinks Sales Analysis may be included with this module, but are not essential.

Basic Data

The data elements essential to this module are as follows:

- Company profiles for all modules.
- Descriptions.
- Processing Profiles within Inventory Management.
- Stockrooms / Depots in Inventory Management, Drinks Sales Order Processing and Drinks Warehousing.
- Items.
- Stockroom Details.

Additionally, the details outlined in Maintenance must be entered before this module can be made operational.

Maintenance lists all the required data elements specific to Drinks Bonded Inventory Management. The details explained are listed in order of priority for implementation.

Installing Application Manager PTF's

Application Manager PTF's must be restored and installed as QSECOFR.



Note: To install the Application Manager PTF's the system must be in a minimum state (that is with no users or subsystems / jobs running - this is important)

Use a normal User ID to create the state then sign off and sign on as QSECOFR.

At the first screen, add in library OSLPTP1 (ADDLIB OSLPTP1 *FIRST)

Type in MNGPTF and install the PTF as normal.

Once installed, the library and PTF object can only be removed by QSECOFR. Install this PTF then sign off and sign back in as PTFOwner for subsequent PTF's.

If the above is NOT done, PTFOwner, being inside Application Manager, will say the AM PTF is installed when it has not, as PTFOwner is using one of the objects the PTF requires, and the system will work - but will NOT have been updated.